Office activation and 'unlicensed product' errors

Article KB0010059 | Owner: Application Support | Subcategory: Microsoft Office | Applies to: Windows 11 (22H2, 23H2, 24H2) on Dell Latitude 5440/7440, Lenovo ThinkPad T14/X1 Carbon, HP EliteBook 840, macOS 14/15 on MacBook Pro/Air, Microsoft 365 Apps for enterprise (Office 2021/Microsoft 365), Intune-managed devices

Summary

This article addresses common Microsoft Office activation problems that manifest as 'Unlicensed Product' banners, crashes, or slow performance in Word, Excel, PowerPoint, and other Office apps. It provides users with a self-help repair and reactivation procedure, outlines the steps the service desk follows to diagnose and fix licensing issues, and explains how to verify a successful resolution.

Symptoms

- Banner across the top of Office apps reading "Unlicensed Product" or "We're sorry, we can't sign you in"
- Excel, Word, or PowerPoint crashes immediately on launch or when opening a file
- Office applications open but run very slowly, with noticeable lag when typing or calculating
- Prompt to activate Office appears repeatedly even after entering credentials
- Error code 0x80070005 (Access denied) or 0x80004005 (Unspecified error) in the Office About dialog

Common causes

- Microsoft 365 subscription has expired or the license assignment was removed in Entra ID
- Office client failed to refresh its license token due to network connectivity issues, proxy blocking, or incorrect system time
- Corrupted Office installation or missing/corrupted registry keys
- Faulty or incompatible COM add-in that interferes with licensing service
- Clock skew >5 minutes preventing token validation, or expired GlobalProtect VPN certificate affecting authentication

Initial Checks

Before attempting any repair, verify a few basic items that often cause licensing errors. Confirm that the device has an active internet connection and can reach https://login.microsoftonline.com. Check the date and time settings; Office will not accept a license token if the system clock is more than five minutes off. Open a browser and sign into the Office portal (https://office.com) with your Acme Global credentials to see whether your subscription is still active and assigned to you. If the portal shows an expired or missing license, the issue is likely on the identity side and should be reported to the Identity & Access Management team.

Self-Help Procedure: Repair and Reactivate Office

Follow these steps to reset the Office licensing state and repair the installation. The procedure works on both Windows and macOS clients managed by Intune. It does not require admin rights beyond what is already granted for the Company Portal.

1. 1. Close all Office applications (Word, Excel, PowerPoint, Outlook, Teams).
2. 2. Open the Start menu, type "Apps & features", and select it.
3. 3. Scroll to find "Microsoft 365 Apps for enterprise" (or "Office 2021") and click **Modify**.",

Service-Desk Procedure

When a user contacts the service desk with an activation problem, follow this workflow to diagnose and resolve the issue efficiently. Document each step in the ticket and communicate progress to the user.

1. 1. Verify the user's Entra ID license status: sign into the Azure portal, navigate to Users -> *username* -> Licenses, and confirm that an active Microsoft 365 E3/E5 license is assigned and not expired.
2. 2. Ask the user to check the system time and time-zone; correct any discrepancy (>5 min) and have them re-launch Office.
3. 3. If the license is present and time is correct, instruct the user to perform the Office Quick Repair (see Self-Help Procedure steps 2-4).
4. 4. After the repair, have the user sign out of Office (File -> Account -> Sign out) and then sign back in with their Acme

Global credentials.
5. 5. If the Unlicensed Product banner persists, disable all add-ins: start Office in safe mode (hold Ctrl while launching), go to File -> Options -> Add-ins, select COM Add-ins, click Go, and uncheck all items. Restart Office normally to test.
6. 6. Should the problem remain, collect the Office diagnostic log (%localappdata%\Microsoft\Office\16.0\Logging) and escalate to the Application Support team for deeper investigation.

Verification

After completing either the self-help or service-desk steps, confirm that Office is properly licensed and functioning correctly. Open any Office application and look at the top-right corner; the banner should now display your name or the text "Signed in as". Create or open a simple document (e.g., a blank Word file) and verify that editing, saving, and calculating work without delay or crashes. Finally, check the About dialog (File -> Account -> About Word) to ensure the product shows "Microsoft 365" with a valid subscription status and that the license is not marked as "Unlicensed".

When to escalate

Escalate to the Application Support team if: (a) the user's Entra ID license is active and correctly assigned, (b) system time is correct, (c) Office Quick Repair and sign-out/in have been tried, and (d) disabling add-ins does not resolve the Unlicensed Product error. Include in the escalation the user's name, employee ID, device hostname, OS version, screenshot of the Unlicensed Product banner, and the Office diagnostic log (%localappdata%\Microsoft\Office\16.0\Logging). If the root cause appears to be an Entra ID licensing or Conditional Access issue, also copy the Identity & Access Management team and provide the license assignment details from Azure AD.

Keywords: Office activation, Unlicensed Product, Excel crash, Word not opening, Office slow, license token, Office repair, sign-in Office, add-in conflict, Entra ID license, Microsoft 365, 0x80070005, 0x80004005